

DECODING CUSTOMER VALUE

Retention Playbook & Promotional Sunset Strategy

Prepared for: D2C Fashion Brand

Objective: Reduce Promotional Dependency While Increasing Customer Loyalty & Lifetime Value

Executive Summary & Objectives

An analysis of current performance reveals that the brand’s growth is currently dependent on promotional activities and giving massive discounts. Although discounts have proven successful in acquiring customers, the volume of organic customers remains lower. Thus, a significant percentage of the growth comes from differing degrees of promotional dependencies.

Instead of cutting the promotions abruptly, our strategy must be to progressively move customers from discount-driven buying towards true value-driven buying behaviour. This playbook provides a comprehensive loyalty framework, customer segmentation strategy, promotional sunset roadmap, revenue protection measures, ideal customer profile, implementation timeline, and core success metrics.

Business Objective & Key Strategic Question

Is the business making customers that value-driven loyal or are people only buying because of all the deals and discounts? To answer this, loyalty must be defined using observable behavioural variables rather than continuous assumptions.

1. Loyalty Frameworks

To properly understand customer value, two loyalty models have been evaluated. Model B (Economic Loyalty) is the recommended approach as it directly addresses whether baseline revenue depends on discounts.

Model	Evaluated Features & Criteria	Strategic Interpretation & Benefit
Model A: Behavioural Loyalty	• Previous Purchases: Above median • Subscription Status: Active • Purchase Frequency: Weekly/Fortnightly • Review Rating: ≥ 4	These customers consistently engage with the brand and show positive satisfaction indicators.

Model	Evaluated Features & Criteria	Strategic Interpretation & Benefit
Model B: Economic Loyalty (RECOMMENDED)	• Purchase Amount: Above Average • Previous Purchases: Above Average • Discount Applied: No • Promo Code Used: No	Why This Model Wins: The challenge specifically focuses on understanding whether revenue depends on discounts. Model B identifies customers who generate higher revenue, purchase repeatedly, require minimal incentives, and maintain profitability. These represent true economic loyalty.

2. Customer Segmentation Strategy

The customer base is divided into four distinct tiers based on value, risk, and behavioral profiles to optimize retention efforts.

Segment	Profile & Characteristics	Business Value	Recommended Actions	Items to Avoid
Segment 1: Premium Loyalists	• High Purchase Amount • High Previous Purchases • Subscription Active • Low Promo Usage • High Ratings	★★★★★ Generate excessive revenue and profitability.	• Early Access Programs • VIP Membership • Personalized Recs • Exclusive Product Drops	• Massive Discounts • Aggressive Promo Campaigns
Segment 2: Growth Customers	• Moderate Spending • Moderate Purchase History • Positive Reviews • Occasional Promo Usage	★★★★☆ Strategic Goal: Convert into Premium Loyalists.	• Product Bundles • Perks Benefits • Membership Enrollment • Personalized Email	• Asking users to pay before they recognize the core value.

Segment	Profile & Characteristics	Business Value	Recommended Actions	Items to Avoid
Segment 3: Promo Dependents	• Frequent Promo Code Usage • Discount Applied on Most Orders • Low Purchase History	★★☆☆☆ Strategic Risk: Revenue may disappear if discounts are removed suddenly.	• Controlled Discount Reduction • Suggest Alternate Product • Shipping Benefits • Reward Points	• Sudden, unannounced baseline price adjustments or total discount removal.
Segment 4: At-Risk Customers	• Low Purchase Frequency • Low Review Scores • No Subscription	★★☆☆☆ Low overall margin contributions.	• Win-Back Campaigns • Customer Service Outreach • Satisfaction Improvement Programs	• Over-investing, high cost customer acquisition marketing funds.

3. Promotional Sunset Roadmap

Promotions currently function as both customer acquisition and revenue maintenance tools, creating margin pressure. If promotions stop completely today, Promo Dependents will churn and Growth Customers may buy less frequently. A phased, gradual sunset timeline is required.

Phase & Timeline	Target Segment	Promotional Action	Value Substitutes	Success Metrics	Expected Outcome
Phase 1: Discount Optimization (Month 1)	Promo Dependents	Reduce average discount: 20% → 15%	• Free Shipping • Faster Delivery • Reward Points	• Conversion Rate • Revenue Retention • Cart Abandonment	Minimal sales impact while reducing promotional cost.
Phase 2: Value Substitution (Month 2)	Growth Customers	Reduce discount: 15% → 10%	• Product Bundles • Multi-Buy Benefits • Membership Benefits	• Average Order Value • Repeat Purchase Rate • Membership Sign-Ups	Customers begin purchasing for value rather than discounts.

Phase & Timeline	Target Segment	Promotional Action	Value Substitutes	Success Metrics	Expected Outcome
Phase 3: Loyalty Monetization (Month 3-4)	Premium Loyalists	Reduce discount: 10% → 0-5%	• VIP Access • Limited Edition Drops • Early Product Launches	• Revenue Per Customer • Customer Lifetime Value • Retention Rate	Higher margin revenue without customer loss.

4. Category & Geographic Expansion Strategy

Category Growth Strategy

- **Acquisition Categories:** Clothing and Footwear are Fashion Accessories and Everyday Carry (EDC).
- **Retention Categories:** Accessories (higher repeat purchase potential, lower price barrier) and Premium Footwear (strong upgrade path).

Geographic Expansion Strategy

Identify and focus on states that demonstrate High Average Spend, Low Discount Dependency, and High Purchase Frequency.

- **Increase:** Paid Advertising, Localized Campaigns, and Influencer Partnerships.
- **Reduce:** Blanket Promotional Spending.
- **Expected Result:** Higher profitability per acquired customer.

5. Ideal Customer Profile (ICP)

Demographics: Age 30–55 Years | Male & Female | States with High Average Order Value & Repeat Purchase Behavior.

Behavioral Trait	Ideal Target Range	Psychographic Characteristics
Previous Purchases	30+ orders	• Values quality over discounts
Purchase Amount	Above Average	• Purchases for lifestyle needs
Review Rating	4+ Stars	• Responds directly to exclusivity
Subscription Status	Active	• Appreciates digital convenience
Promo Dependency	Low	• Engages with brand communications

Behavioral Trait	Ideal Target Range	Psychographic Characteristics
Purchase Frequency	Weekly / Fortnightly	• Brand-loyal rather than price-loyal

- **Recommended Messaging:** "Exclusive member access, premium quality, and personalized shopping experiences."
- **Avoid Messaging:** "Massive Discounts", "Lowest Prices", "Limited-Time Coupon Deals" (Attracts low-value users and increases promotional dependency).

6. Founder Dashboard KPIs (Key Performance Indicator)

- **Panel 1: Customer Pyramid** – Premium Loyalists, Growth Customers, Promo Dependents, and At-Risk Customers.
- **Panel 2: Promo Dependency vs Retention** – Repeat Purchase Rate, Discount Usage %, and Revenue Contribution.
- **Panel 3: Geographic Opportunity Map** – Revenue by State, Average Order Value, and Discount Dependency.
- **Panel 4: Category Funnel** – Entry Categories, Upgrade Categories, and Repeat Purchase Categories.

7. Success Metrics & Strategic Recommendation

- **Financial:** Gross Margin increases by 8–15%, Discount Cost decreases by 20%, and overall revenue remains stable or grows.
- **Customer:** Repeat Purchase Rate increases by 10%, Subscription Adoption increases by 15%, and Promo Dependency decreases by 25%.
- **Strategic:** Majority of revenue shifts cleanly to Premium Loyalists and Growth Customers, moving the brand from promotion-led growth to loyalty-led growth.

Final Recommendation

The brand should not eliminate discounts immediately. Instead, execute a structured transition from **price-based purchasing behavior to value-based purchasing behavior**. The long-term competitive advantage lies not in offering larger discounts but in building a customer base that purchases because of: **Product Quality, Brand Trust, Convenience, Membership Benefits, and Exclusive Experiences**. This approach protects revenue, improves margins, and creates sustainable customer loyalty while directly addressing the challenge's core question: whether the business is creating loyal customers or merely attracting discount-driven buyers.